Examples of such errors are follows:

(i) Entered in the journal but posted to one account and omitted to be posted to the other.
(ii) Posting an amount to the wrong side of a ledger account.
(iii) Posting twice in a ledger account
(iv) Over-casting or Under-casting in a subsidiary book
(v) Posting a wrong amount to the correct side of an account
(vi) Posting a wrong amount to the wrong side of an account
(vii) Errors arising in carrying forward the page total from one page to the next page of an account or subsidiary book.
(viii) Errors arising in the balancing of an account.
(ix) Omission to post an entry from a subsidiary book.

9.5.2 Errors not disclosed by the trial balance

Certain errors will not affect the agreement of trial balance. Though such errors occur in the books of accounts, the total of debit and credit balance will be the same. The trial balance will tally. Errors of complete omission, error of principle, compensating error, wrong entry in the subsidiary books are not disclosed by the trial balance. Examples of such errors are as follows:

(i) Treating revenue expenditure as capital expenditure
(ii) Omitting a transaction completely
(iii) Entering a transaction in a wrong subsidiary book
(iv) Entering a transaction twice in a subsidiary book or journal
(v) Entering the amount of a transaction wrongly in the journal
(vi) Entering the amount of a transaction wrongly in a subsidiary book
(vii) Compensating error

9.6 Steps to locate errors

Errors can be located by going through various steps. Such steps are as follows:

9.6.1 Location of errors before preparation of trial balance

Errors may be located before preparing the trial balance either spontaneously or by intentional scrutiny of books of accounts.

The following are the steps to be followed to locate errors before preparing trial balance:

(i) Scrutiny of entries made in the journal proper
(ii) Scrutiny of entries made in the subsidiary books
(iii) Checking the totals of the subsidiary books
(iv) Scrutiny of postings made to the ledger accounts
(v) Scrutiny of balancing of ledger accounts

The errors located at this stage are rectified by debiting or crediting the relevant accounts in the books.

9.6.2 Location of errors after the preparation of trial balance

While preparing trial balance, if it does not tally, it is an indication of presence of errors in the books of accounts. The difference in trial balance is transferred to suspense account and then errors are to be located and rectified.

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